

THE IMPORTANCE OF CORPORATE STRUCTURING FOR NIGERIAN STARTUPS



Introduction

In the early stages of building a business, many founders understandably focus on product development, customer acquisition, fundraising and growth. Legal and corporate structuring issues are often treated as matters to be addressed later, once the business becomes more established.

However, as Nigeria's regulatory environment continues to evolve, this approach is becoming increasingly risky.

Today, corporate structuring is no longer merely an administrative or incorporation exercise. It has become a critical component of business sustainability, regulatory readiness and long-term scalability.

For many startups, the consequences of poor structuring may not become apparent immediately. The issues often emerge at later stages, particularly during investor due diligence, regulatory engagements, commercial partnerships, tax reviews or internal disputes among founders.

Common Corporate Structuring Challenges Faced by Startups

Many startups encounter avoidable legal and operational challenges because key corporate issues were not addressed at the outset. Common examples include:

- a) Unclear shareholding arrangements;
- b) Undocumented founder contributions or loans;
- c) Absence of vesting or founder exit mechanisms;
- d) Intellectual property owned personally by founders rather than the company;
- e) Inadequate governance structures;
- f) Regulatory non-compliance; and
- g) Poorly drafted commercial and employment agreements.

While these issues may appear insignificant in the early stages of a business, they can create substantial difficulties as the business grows, seeks investment or enters into strategic partnerships.

Increasing Regulatory Expectations

The need for proper corporate structuring has become even more significant in sectors such as fintech, technology, digital commerce, logistics, healthcare and financial services, where regulatory oversight continues to increase.

Businesses operating in these sectors are increasingly required to address issues relating to:

- a) Licensing requirements;
- b) Data protection and privacy compliance;
- c) Consumer protection obligations;
- d) Anti-money laundering and financial crime controls; and
- e) Tax compliance and reporting obligations.

As a result, regulators, investors, financial institutions and commercial counterparties are placing greater emphasis on governance, compliance and corporate structure when assessing businesses.

Benefits of Proper Corporate Structuring

A well-structured startup is generally better positioned to manage risk, attract investment and achieve sustainable growth.

Proper corporate structuring helps startups to:

- a) Establish clear ownership and governance frameworks;
- b) Define rights, responsibilities and decision-making processes among founders and investors;
- c) Protect valuable intellectual property assets;
- d) Improve regulatory and tax compliance;
- e) Reduce operational and dispute-related risks; and
- f) Position the business for future investment, partnerships and expansion.

Why Corporate Structuring Is Not a One-Size-Fits-All Exercise

There is no single corporate structure that is suitable for every startup.

The appropriate structure will often depend on several factors, including:

- a) The nature of the business;
- b) Applicable regulatory requirements;
- c) Funding and investment objectives;
- d) Ownership and control considerations; and
- e) The startup's long-term commercial strategy.

For this reason, founders should seek legal guidance that is tailored to the specific needs and growth plans of their business rather than relying on generic templates or assumptions.

Conclusion

As Nigeria's startup ecosystem continues to mature, founders are increasingly recognising that legal and regulatory considerations should not be postponed until problems arise. Rather, they form part of the foundation upon which sustainable and investment-ready businesses are built.

Corporate structuring should therefore be viewed as a strategic business decision rather than a compliance exercise. For emerging businesses, early attention to corporate structuring may ultimately prove to be just as important as the product or service the business intends to offer.

AUTHOUR



Egwu Chidinma, Principal Counsel

C. Egwu Law Firm

c.egwu@cegwulawfirm.com; cegwulawfirm@gmail.com

+2347071674471